Practice workbook · Multinationals and FDI: why firms invest abroad, gains and costs

What an MNC and FDI are, why firms set up abroad (scale economies, resources, cheap inputs, lower transport/communication costs, new customers), and the advantages and disadvantages for host countries.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-03

1. Question 3 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

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3 (a) Cost-push inflation is most likely to result from an increase in **(1)**

- ☒ **A** the rate of income tax
- ☒ **B** productivity
- ☒ **C** wage rates
- ☒ **D** government spending

(b) Monetary policy would involve changes in which one of the following? **(1)**

- ☒ **A** Government spending
- ☒ **B** Interest rates
- ☒ **C** Taxation
- ☒ **D** Balance of payments

The consumption of avocados in the US used to be restricted to the summer months when farmers in California harvested their crops. Now avocados are available all year and 90% are imported from Mexico.

(c) Explain **one** way globalisation has affected consumers in the US. **(3)**

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1. Question 3 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

In August 2018, Mondelez, a food and beverage multinational corporation (MNC), opened its first factories in Bangladesh. Previously, Mondelez had been exporting its products into Bangladesh for 15 years.

(d) Analyse why a MNC, such as Mondelez, might want to invest in Bangladesh.

(6)

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1. Question 3 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

Indonesia's Economic Minister Darmin Nasution said that the current account deficit would reach 3% of gross domestic product (GDP) by the end of 2018.

"Yes, it is a bit high, but nothing to worry about. The deficit in 2014 was even higher," said Darmin Nasution.

Meanwhile, senior economist Faisal Basri called on the government to take the growing current account deficit as a serious matter because it could have negative effects on the economy.

(e) With reference to the data above and your knowledge of economics, assess the impact of a current account deficit for a country such as Indonesia.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 1 · part c · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 (a) In a recovery, a country's Gross Domestic Product (GDP)

(1)

- ☒ **A** rises
- ☒ **B** falls
- ☒ **C** stays the same
- ☒ **D** fluctuates

(b) A trade bloc is a group of countries that have

(1)

- ☒ **A** the same interest rate
- ☒ **B** common borders between members
- ☒ **C** the same currency
- ☒ **D** a reduction in trade barriers between members

(c) What is meant by the term multinational corporation (MNC)?

(2)

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2. Question 1 · part c · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Describe **one** impact of economic growth on the productive potential of a country.

(2)

Figure 1 shows the main components of Germany's current account in 2016.

	€ billion
Trade in goods (visibles)	+271.7
Trade in services (invisibles)	-22.4

Figure 1

(Source: Bundesbank)

(e) Using the data in Figure 1, calculate in € bn the current account balance for Germany in 2016.

(2)

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2. Question 1 · part c · 2 marks · Working and answer

Working and answer

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3. Question 2 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

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2 The price of a basket of goods and services used to calculate the Consumer Price Index (CPI) in an economy, rose from €1 250 to €1 300 in one year.

(a) What is the rate of inflation?

(1)

- ☒ **A** 0.96%
- ☒ **B** 1.04%
- ☒ **C** 4%
- ☒ **D** 5%

(b) What is the name of the term used to describe tax on income, wealth and profit?

(1)

- ☒ **A** Direct taxation
- ☒ **B** Value added tax
- ☒ **C** Excise duties
- ☒ **D** Indirect taxation

(c) State **one** way businesses can damage the environment.

(1)

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(d) What is meant by the term supply-side policy?

(2)

3. Question 2 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

In October 2017 the currency of the Philippines, the peso, fell to its lowest level against the US dollar in more than 11 years.

(e) Explain **one** advantage of having a depreciating currency for an economy such as the Philippines.

(3)

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3. Question 2 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

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According to the UN there are now over 63,000 multinational corporations (MNCs) and the number is growing daily. Many well-known MNCs, including PepsiCo, the Tata Group and Microsoft, are expanding in India.

(f) Explain **one** possible reason for the emergence of MNCs in a country such as India.

(3)

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P 6 0 7 4 8 A 0 9 2 4

9

Turn over ▶

3. Question 2 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

The Association of South East Asian Nations (ASEAN) is a trade bloc. It was set up in 1967 by Indonesia, Malaysia, the Philippines, Singapore and Thailand. Later it was joined by Brunei, Laos, Vietnam, Myanmar and Cambodia and became a 10 member trading bloc in 2016.

1967 ASEAN-5 (Indonesia, Malaysia, the Philippines, Singapore and Thailand)		2016 ASEAN-10 (Brunei, Laos, Vietnam, Myanmar, Cambodia, Indonesia, Malaysia, the Philippines, Singapore and Thailand)
185 Million	Population	**634** Million
2 950 Thousand Km²	Land	**4 326** Thousand Km²
56 Years	Life Expectancy	**71** Years
$122 Current Prices (US)	GDP/Capita	**$4 021** Current Prices (US)
$9 707 Million (US)	Trade	**$2 218 534** Million (US)

Figure 2

(Source: adapted from https://www.fwd.news/50-years-major-regional-trading-bloc-looks-closer-cooperation/)

(g) With reference to the data above and your knowledge of economics, assess the benefits for a country, such as Thailand, of being a trade bloc member.

(9)

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3. Question 2 · part f · 3 marks · Working and answer

Working and answer

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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02 (regional R)

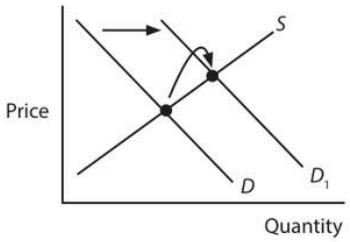
Further practice · Attempt part g only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

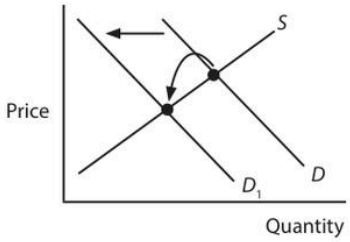
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

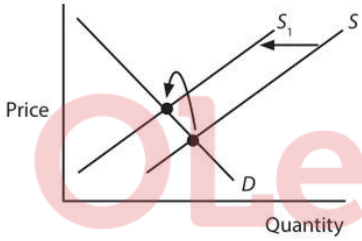
☒ **A**



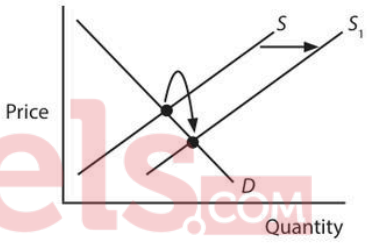
☒ **B**



☒ **C**



☒ **D**



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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

India set a target for its fiscal deficit of 3.3% of its GDP for the year ending March 2019.

(e) Explain **one** reason why the Indian Government's fiscal deficit is likely to stimulate economic growth.

(3)

In 2017, the tertiary sector contributed 69.3% to Germany's GDP and the secondary sector contributed 30.1%. In comparison, the primary sector only accounted for 0.6% of GDP.

(f) Explain a typical trade pattern for a developed country such as Germany.

(3)

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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

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Since 2016, 24 Japanese multinational corporations (MNCs) have invested in Bangladesh. This takes the total to 269 Japanese MNCs in Bangladesh. Low wages and the low cost of production are the main reasons for locating in Bangladesh. The cost of production is four times higher in China compared to Bangladesh.

Investments in Bangladesh have been made by Japanese automobile firm Honda and steel manufacturer Nippon Koei. Nippon Koei has invested $59.19m and recruited 2,500 employees to work in its steel factories.

(g) With reference to the data above and your knowledge of economics, assess the benefits that MNCs bring to a country such as Bangladesh.

(9)

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P 5 8 3 8 5 A 0 1 1 2 4

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Turn over ▶

4. Question 2 · part g · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

4. Question 2 · part g · 9 marks · Working and answer

Working and answer

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5. Question 3 · part c · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

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3 (a) Which **one** of the following is likely to be a trade-off as a result of increased economic growth?

(1)

- ☒ **A** Increased employment
- ☒ **B** Increased inflation
- ☒ **C** Higher standards of living
- ☒ **D** Higher fiscal surplus

(b) Which type of taxation has a higher proportion of income paid as income rises?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Business
- ☒ **D** Value added tax (VAT)

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5. Question 3 · part c · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

Palm oil is used in food and cosmetics. Palm plantations are a major agricultural activity in Indonesia. Many of the plantations are owned by foreign multinational corporations (MNCs).

(c) Explain **one** advantage for Indonesia of the palm oil plantations being owned by foreign MNCs.

(3)

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5. Question 3 · part c · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

In 2018, Italy entered a recession after the country's manufacturing sector decreased for the third month in a row. Gross domestic product (GDP) fell by 0.1% from July to September.

(d) Analyse the impact on unemployment of a recession in a country such as Italy.

(6)

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5. Question 3 · part c · 3 marks · Working and answer

Working and answer

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6. Question 1 · part h · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part h only.

1 (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

(1)

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voltuntary

(b) Which **one** of the following terms refers to a tax on imported goods?

(1)

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

(2)

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6. Question 1 · part h · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part h only.

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(d) What is meant by the term dumping?

(2)

Figure 1 shows the government revenue and expenditure in rupees crore for India in 2019–2020.

	Indian rupees crore (Rs)
Total revenue	2 080 201
Total expenditure	2 784 200

Figure 1

(e) Calculate the **fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working.

(2)

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6. Question 1 · part h · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part h only.

In 2019, Hungary introduced a subsidy on new cars for families with three or more children.

(f) Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

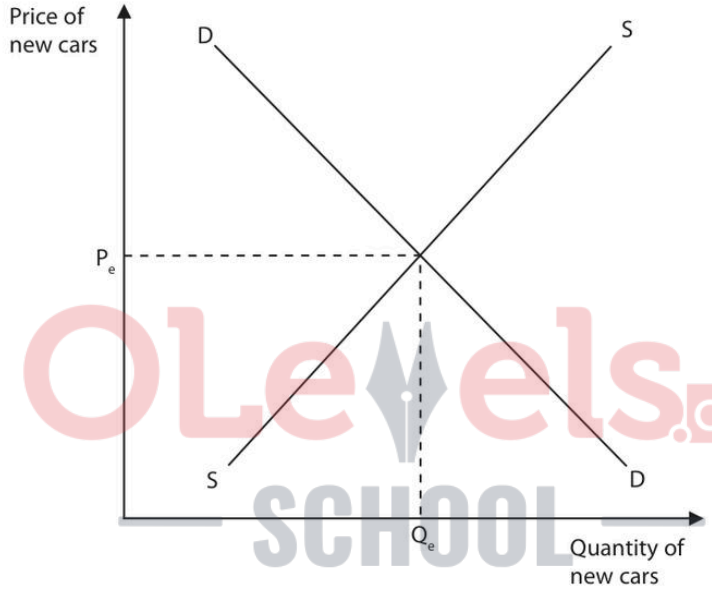


Figure 2

The UK has 13 national parks with the Lake District National Park being the largest and most popular. It had over 19.17 million visitors in 2018. Woodland covers over 12% of the national park.

(g) Explain **one** benefit to the UK Government of providing parks.

(3)

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6. Question 1 · part h · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part h only.

According to a survey from accounting firm EY, foreign direct investment (FDI) into Ireland increased by 52% in 2018.

(h) With reference to the data above and your knowledge of economics, analyse the benefits of FDI for a country such as Ireland.

(6)

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(Total for Question 1 = 20 marks)

6. Question 1 · part h · 6 marks · Working and answer

Working and answer

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

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4 Figure 4 shows the amount of foreign direct investment (FDI) India received from 2016–2019.

Year	FDI ($bn)
2016	45.14
2017	55.55
2018	60.98
2019	64.37

Figure 4

(Source adapted from: https://www.businesstoday.in/current/economy-politics/india-has-received-highest-ever-fdi-of-6437-billion/story/369313.html)

(a) Calculate, to two decimal places, the **annual average value of FDI in $bn** for India from 2016–2019. You are advised to show your working.

(2)

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

India is a member of the Asia-Pacific Trade Agreement (APTA). This preferential trade agreement has five members including Bangladesh, China, South Korea and Sri Lanka.

(b) With reference to the data above and your knowledge of economics, analyse the benefits for India from being a member of a trading bloc.

(6)

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

In January 2019, the Indian Government approved new legislation that improved and simplified its policy on foreign direct investment (FDI). This helped to attract more multinational corporations (MNCs) to the country.

In 2019, India ranked among the top 10 economies benefitting from FDI. The overall growth of FDI in India was due to its many resources. These include a high degree of specialisation in services and a skilled, English-speaking, low-cost labour force. India also has a potential market of over one billion people.

FDI in India has been focused on chemicals, computer software and hardware, telecommunications, the automobile industry, construction, power and pharmaceuticals.

(Source adapted from: https://www.nordeatrade.com/en/explore-new-market/india/investment)

(c) With reference to the data above and your knowledge of economics, evaluate the benefits of FDI for a country such as India.

(12)

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

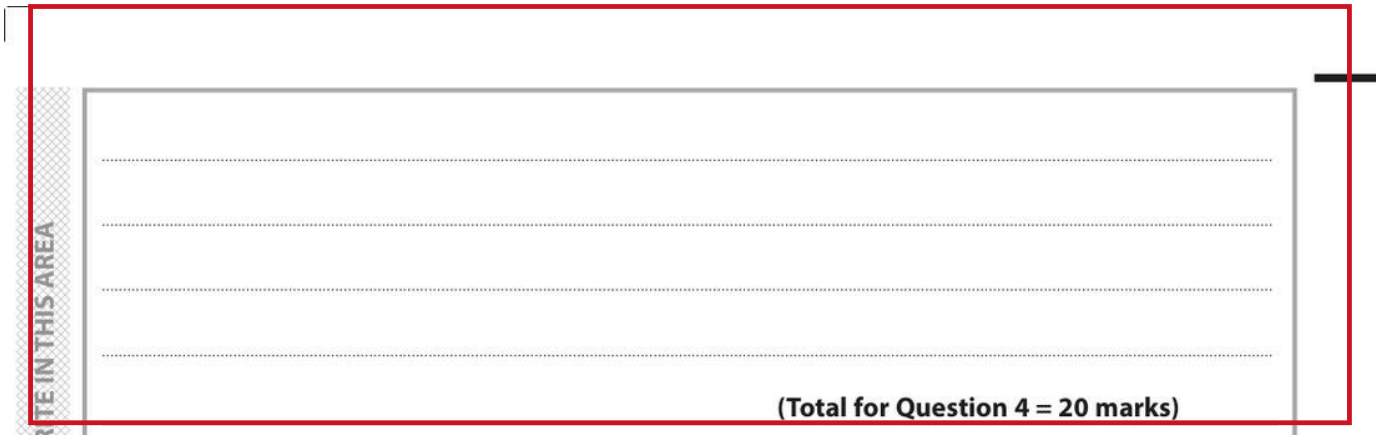
Further practice · Attempt part c only.



7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.



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7. Question 4 · part c · 12 marks · Working and answer

Working and answer

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8. Question 1 · part a · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a only.

1 (a) A firm is described as a multinational corporation (MNC) if it

(1)

- ☒ **A** has shareholders in many countries
- ☒ **B** exports goods to other countries
- ☒ **C** is owned by the government
- ☒ **D** operates in more than one country

(b) An increase in which **one** of the following would be most likely to encourage saving?

(1)

- ☒ **A** Interest rate
- ☒ **B** Income tax rate
- ☒ **C** Exchange rate
- ☒ **D** Indirect tax rate

(c) What is meant by the term imports?

(2)

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8. Question 1 · part a · 1 mark · Working and answer

Working and answer

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9. Question 3 · part a · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following is an example of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** An Indian garment factory selling clothes to the UK
- ☒ **B** The Indian Government investing in the Indian rail network
- ☒ **C** The construction of a factory in India by a Chinese firm
- ☒ **D** An Indian supermarket opening new stores in India

(b) If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then

(1)

- ☒ **A** the UK pound (£) has appreciated against the US dollar ($)
- ☒ **B** US holidays will be cheaper for UK tourists
- ☒ **C** US exports to the UK will be cheaper
- ☒ **D** UK exports to the US will be cheaper

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9. Question 3 · part a · 1 mark · Working and answer

Working and answer

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10. Question 3 · part e · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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3 (a) Which **one** of the following is an example of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** An Indian garment factory selling clothes to the UK
- ☒ **B** The Indian Government investing in the Indian rail network
- ☒ **C** The construction of a factory in India by a Chinese firm
- ☒ **D** An Indian supermarket opening new stores in India

(b) If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then

(1)

- ☒ **A** the UK pound (£) has appreciated against the US dollar ($)
- ☒ **B** US holidays will be cheaper for UK tourists
- ☒ **C** US exports to the UK will be cheaper
- ☒ **D** UK exports to the US will be cheaper

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10. Question 3 · part e · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

In November 2020, Pakistan recorded a current account surplus of $1.64bn. This was its fifth consecutive current account surplus.

(c) Explain **one** reason why an improvement in the quality of domestic goods may have resulted in a positive impact on Pakistan's current account.

(3)

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10. Question 3 · part e · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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China has been investing in healthcare as the main way to reduce poverty. Over 90% of the medical bills of patients are now paid by the government.

(d) Analyse the benefits of investing in healthcare for a country such as China.

(6)

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10. Question 3 · part e · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

In 2021, the UK Government investigated multinational corporations (MNCs) suspected of moving profits made in the UK to other countries. It threatened large penalties for firms that were found guilty of not paying business taxes that were due.

The Government estimated that 2,000 large firms with operations in the UK may owe as much as £34.8bn in tax in the 2019–2020 financial year. This was up from £29.9bn in 2018–2019.

(e) With reference to the data above and your knowledge of economics, assess the drawbacks for the UK of having MNCs located within the country.

(9)

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10. Question 3 · part e · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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11. Question 3 · part b · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part b only.

3 (a) A decrease in unemployment is likely to result in

(1)

- ☒ **A** a decrease in tax revenues
- ☒ **B** a decrease in economic growth
- ☒ **C** an increase in inflation
- ☒ **D** an increase in relative poverty

(b) Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** Increased level of skills
- ☒ **B** Greater environmental damage
- ☒ **C** Higher employment levels
- ☒ **D** Faster economic growth

In December 2021, the US current account deficit increased to $214.8bn. This was the largest deficit since 2006.

(c) Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account.

(3)

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11. Question 3 · part b · 1 mark · Working and answer

Working and answer

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12. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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4 Figure 5 shows population data for Kazakhstan in 2022.

	2022
Population	19,700,000
Number of people living in relative poverty	3,063,500

Figure 5

(a) Calculate, to two decimal places, the **percentage** of people living in relative poverty in Kazakhstan in 2022. You are advised to show your working.

(2)

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12. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

In 2023, the Kazakhstan Government privatised KTZ, its national railway company. KTZ is the largest employer in Kazakhstan and makes a profit from its operations.

(b) With reference to the data above and your knowledge of economics, analyse the possible disadvantages of the Kazakhstan Government privatising the national railway company.

(6)

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12. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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In 2022, Kazakhstan's foreign direct investment (FDI) increased by 17.8% to reach $22.1bn. With its huge amount of natural resources such as oil and gas and agricultural lands, Kazakhstan is the richest country in central Asia.

Sector	Growth in FDI
Manufacturing	36.9%
Retail	32.6%
Transport	20.1%
Mining	11.7%

The top four countries investing in Kazakhstan in 2022 were the Netherlands, the US, Switzerland and Belgium.

According to the Deputy Minister of Foreign Affairs, the growth in FDI reflects foreign investors' confidence in Kazakhstan due to its ongoing government reforms and low costs of production.

(c) With reference to the data above and your knowledge of economics, evaluate the advantages of an increase in foreign direct investment (FDI) for a country such as Kazakhstan.

(12)

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P 7 3 4 9 9 R A 0 1 9 2 4

19

Turn over

12. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.



12. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

12. Question 4 · part c · 12 marks · Working and answer

Working and answer

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13. Question 1 · part a · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

(c) What is meant by the term monetary policy?

(2)

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13. Question 1 · part a · 1 mark · Working and answer

Working and answer

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14. Question 1 · part a · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

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14. Question 1 · part a · 1 mark · Working and answer

Working and answer

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15. Question 3 · part a · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a only.

3 (a) Which **one** of the following is an example of foreign direct investment (FDI)?

(1)

- ☒ **A** A Japanese car company buying an Indonesian car company
- ☒ **B** An Indonesian supermarket buying produce from a farm in India
- ☒ **C** A Malaysian gift shop selling souvenirs to a Malaysian tourist
- ☒ **D** An Australian mining company selling coal to an Indonesian power station

The exchange rate between the US dollar ($) and the British pound (£) is $1 = £0.80

(b) How many US dollars ($) would it take to purchase £150?

(1)

- ☒ **A** $120.00
- ☒ **B** $150.80
- ☒ **C** $187.50
- ☒ **D** $230.00

The UK Government has removed the 12% import tariff on palm oil from Malaysia.

(c) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

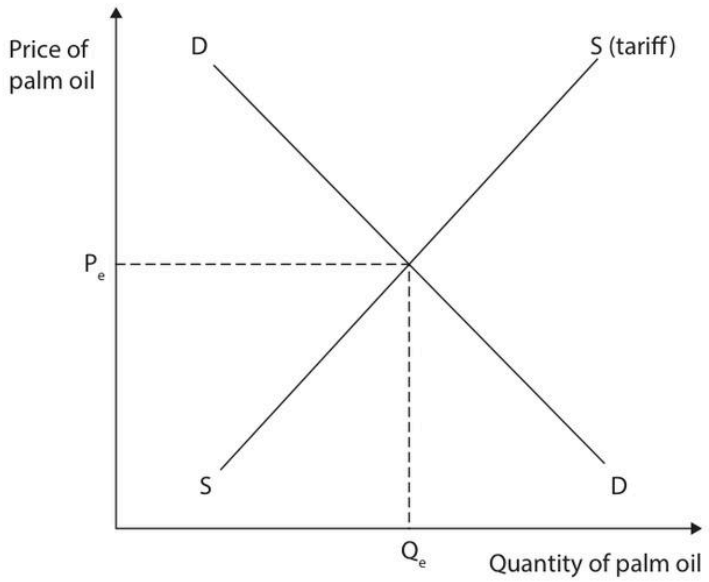


Figure 4

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15. Question 3 · part a · 1 mark · Working and answer

Working and answer

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16. Question 2 · part c · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

(d) What is meant by the term indirect tax?

(2)

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16. Question 2 · part c · 1 mark · Working and answer

Working and answer

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17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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3 (a) In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online?

(1)

- ☒ **A** The cost of updates to the website due to higher prices for mobile phones
- ☒ **B** The cost of raw materials for producing a mobile phone
- ☒ **C** The cost of shipping and handling fees for online orders
- ☒ **D** The cost to consumers of looking for the lowest price of mobile phones

In 2023, the total value of UK exports to Spain was £19.9bn and the total value of imports from Spain into the UK was £44.2bn.

(b) Calculate the trade balance between the UK and Spain in 2023.

(1)

- ☒ **A** A trade surplus of £24.3bn
- ☒ **B** A trade surplus of £64.1bn
- ☒ **C** A trade deficit of £24.3bn
- ☒ **D** A trade deficit of £64.1.bn

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17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

In 2024, a new childcare subsidy was offered to working parents in Northern Ireland.

(c) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of childcare in Northern Ireland. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

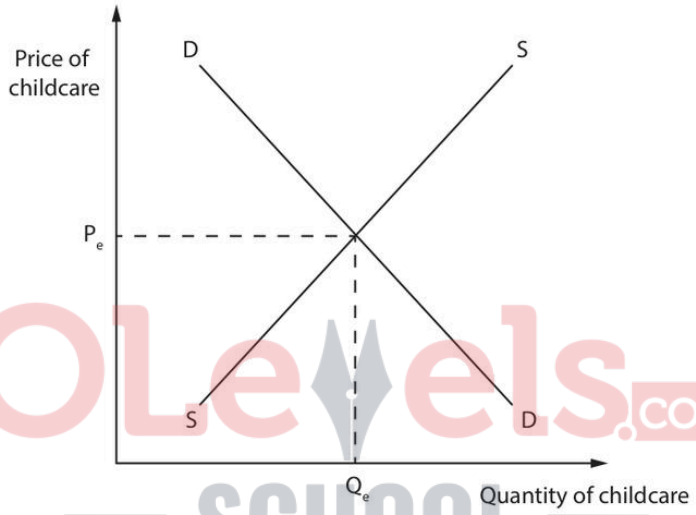


Figure 3

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P 7 8 9 6 3 A 0 1 4 2 8

17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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Globalisation has transformed the world. Centuries ago, it brought exotic spices and goods from distant parts of the globe. More recently, it has allowed people to work, communicate and travel more easily. Fewer tariffs and quotas are one of the reasons for an increase in globalisation.

(d) With reference to the data above and your knowledge of economics, analyse why fewer tariffs and quotas have resulted in an increase in globalisation.

(6)

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17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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Levi Strauss & Co, a multinational corporation (MNC), has committed to achieving net-zero greenhouse gas emissions by 2050. As part of this goal, the company has introduced innovative water-saving manufacturing processes. One such initiative has saved nearly 13 billion litres of water over nine years.

In 2011, Levi Strauss & Co created a worker wellbeing programme. This provides health education, family welfare programmes and financial empowerment for its clothing workers in its 118 factories across 16 countries.

(e) With reference to the data above and your knowledge of economics, assess the advantages of multinational corporations (MNCs) for the countries in which they operate.

(9)

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17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

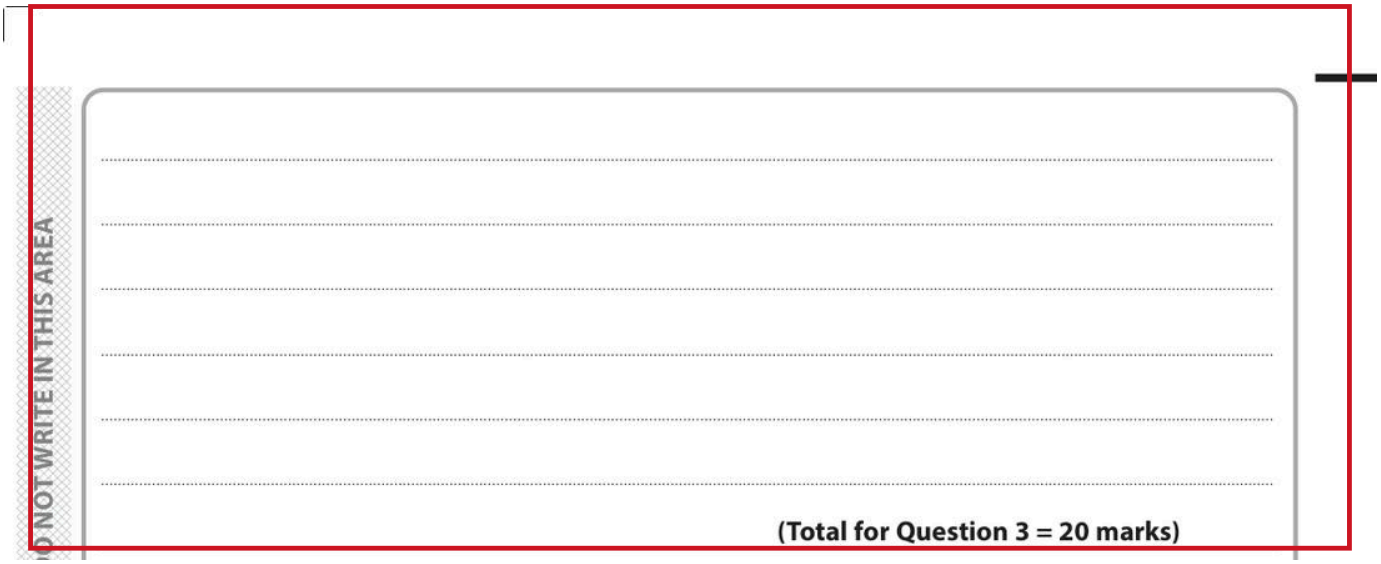
Further practice · Attempt part e only.



17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.



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17. Question 3 · part e · 9 marks · Working and answer

Working and answer

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